# Vote Certification

## Revolving Fund Ordinance to establish a new revolving fund for the Renewable Energy and Greenhouse Gas ("GHG") Reduction to serve the City's municipal energy use. PASSED TO SECOND READING IN COUNCIL SEPTEMBER 14, 2026

## Passed to a Second Reading: Monday, September 14, 2026

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| **RESULT:** | **9 TO 0** |
| **YEAS:** | Ayah A. Al-Zubi, Burhan Azeem, Timothy R. Flaherty, Marc C. Mcgovern, Patricia M. Nolan, E. Denise Simmons, Jivan Sobrinho-Wheeler, Catherine Zusy, Sumbul Siddiqui |
| **NAYS:** | |
| **PRESENT:** | |
| **ABSENT:** | |

## CLEAN VERSION – *Final proposed text only, edits not shown*
## Municipal Renewable Energy Revolving Fund

## Amendments to Section 3.24.070 – Authorized Revolving Funds

***Amend Section 3.24.070 to read as follows:***

**3.24.070 Authorized Revolving Funds.**

C. Municipal Renewable Energy Fund

1. Fund Name. There shall be a separate fund called the "Municipal Renewable Energy Fund, (MREF)" for use by the Department of Public Works.

2. Definitions Applicable to this Subsection.

   a. "vPPA" shall mean virtual power purchase agreement, which is an agreement to acquire environmental attributes known as Renewable Energy Certificates (RECs) from a renewable energy project. vPPAs shall not include contracts for physical energy or contracts that impact conventional energy use or procurement. Instead, vPPAs shall consist of financially settled "contracts for differences," where a Buyer ensures the Seller a secure revenue stream from the sale of the project output necessary to support financing for the project, with the Buyer receiving the RECs and paying, or receiving, the net difference between the agreed vPPA price and the Wholesale Market Prices.

   b. "RECs" shall mean renewable energy certificates, each unit of which is a legal instrument that proves the bearer owns the environmental attributes of one megawatt-hour (MWh) of renewable electricity. RECs track and claim ownership of renewable energy generation, enabling individuals, organizations and businesses to support renewable energy and claim a reduction in their carbon footprint, even if they cannot generate their own green power. RECs are supported by several different levels of government, regional electricity transmission authorities, non-governmental organizations (NGO's), and trade associations.

   c. "vPPA contract" shall mean a Virtual Power Purchase Agreement (vPPA) contract the City of Cambridge has entered into or may enter into in the

future to purchase a portion of the Environmental Attributes associated with the generation of renewable energy at a facility.

d. "Cash Positive" shall mean instances where the market electricity price exceeds the contract price and funds will flow from the Seller to the City. The funds will be deposited into the Municipal Renewable Energy Fund ("MREF") to be used for "Cash Negative" months.

e. "Cash Negative" shall mean instances where the market electricity price is below the contract price and funds will flow from the City to the Seller. In such instances, funds will first come from the MREF. If there are not sufficient funds in the MREF, the Public Works Department will use funds available in other accounts approved for this purpose.

f. "Renewable Energy" shall mean, as defined in General Laws Chapter 164, § 1, (i) resources whose common characteristic is that they are nondepletable, or are naturally replenishable but flow-limited; or (ii) existing or emerging non-fossil fuel energy sources or technologies, which have significant potential for commercialization in New England, and New York, and shall include the following: solar photovoltaic or solar thermal electric energy; wind energy; ocean thermal, wave, or tidal energy; geothermal; fuel cells; landfill gas; waste-to energy which is a component of conventional municipal solid waste plant technology in commercial use; naturally flowing water and hydroelectric; and low emission advanced biomass power conversion technologies using such fuels such as wood, by-products or waste from agricultural crops, food or animals, energy crops, biogas, liquid biofuel including but not limited to biodiesel, organic refuse-derived fuel, or algae; provided, however, that Renewable Energy supplies shall not include coal, oil, natural gas except when used in fuel cells, and nuclear power.

g. "Greenhouse Gas Mitigation" shall mean any investment or activity that measurably reduces or avoids greenhouse emissions.

3. **Revenues.** The City Treasurer shall establish the Municipal Renewable Energy Fund as a separate account of the City and credit to the fund all the revenues received from City of Cambridge virtual Power Purchase Agreement(s) established for the benefit of municipal operations, and revenue received from

the sale or transfer of RECs from renewable energy systems created for the benefit of municipal operations.

4. **Purpose and Expenditures.** During the fiscal year, the department head of the Public Works Department or their designee within the department, as approved by the City Manager, will make payments from this fund on behalf of and for the benefit of the following municipal operations:

   **a.** Monthly virtual Power Purchase Agreement payments if the market electricity price is below the contract price (cash negative).
   **b.** Procurement of administrative/consultant/technical support for financial forecasting and potentially other administrative needs such as retiring RECs, or auditing settlements, etc.

   c. Other renewable energy projects and greenhouse gas mitigation activities.

5. **Fiscal Years.** The Municipal Renewable Energy Fund shall operate for fiscal years that begin on or after July 1, 2026.